

CHAPTER SUMMARY

Successful asset allocation requires that you act rationally and methodically when managing your portfolios. The best asset allocation is one that an investor is comfortable with during all market conditions and will have the discipline to maintain even during prolonged downturns. That is easier said than done. Most investors are not entirely rational in their decision-making process. Researchers in the field of behavioral finance have uncovered a large number of irrational behaviors and errors in judgment that lead to lower investment returns.

Many portfolio failures occur when investors take on more risk than they are capable of handling. Too much portfolio risk results in adverse investor behavior during market downturns. The right amount of risk is a level where an investor does not become emotional about the portfolio when the markets are poor.

There are several personality tests that investors can take in an attempt to find their true tolerance for investment risk and an appropriate asset allocation. One assessment of maximum risk is the use of risk assessment questionnaires. A portfolio stress test can help investors find an appropriate asset allocation that is right for their needs. Finally, portfolio management is as much common sense as mathematics. Erring on the side of prudence never sent anyone to the poorhouse.

Once a portfolio asset allocation has been set, rebalancing will occur on a regular basis to capture the diversification benefits and to control risk. Rebalancing strategies can be simple or elaborate. Rebalancing once per year is simple and provides good diversification benefits.

SAMPLE RISK TOLERANCE QUESTIONS

(This is not a complete questionnaire)

1. When making a long-term investment, I plan to hold the investment for

☐ 1–2 years

☐ 3–4 years